

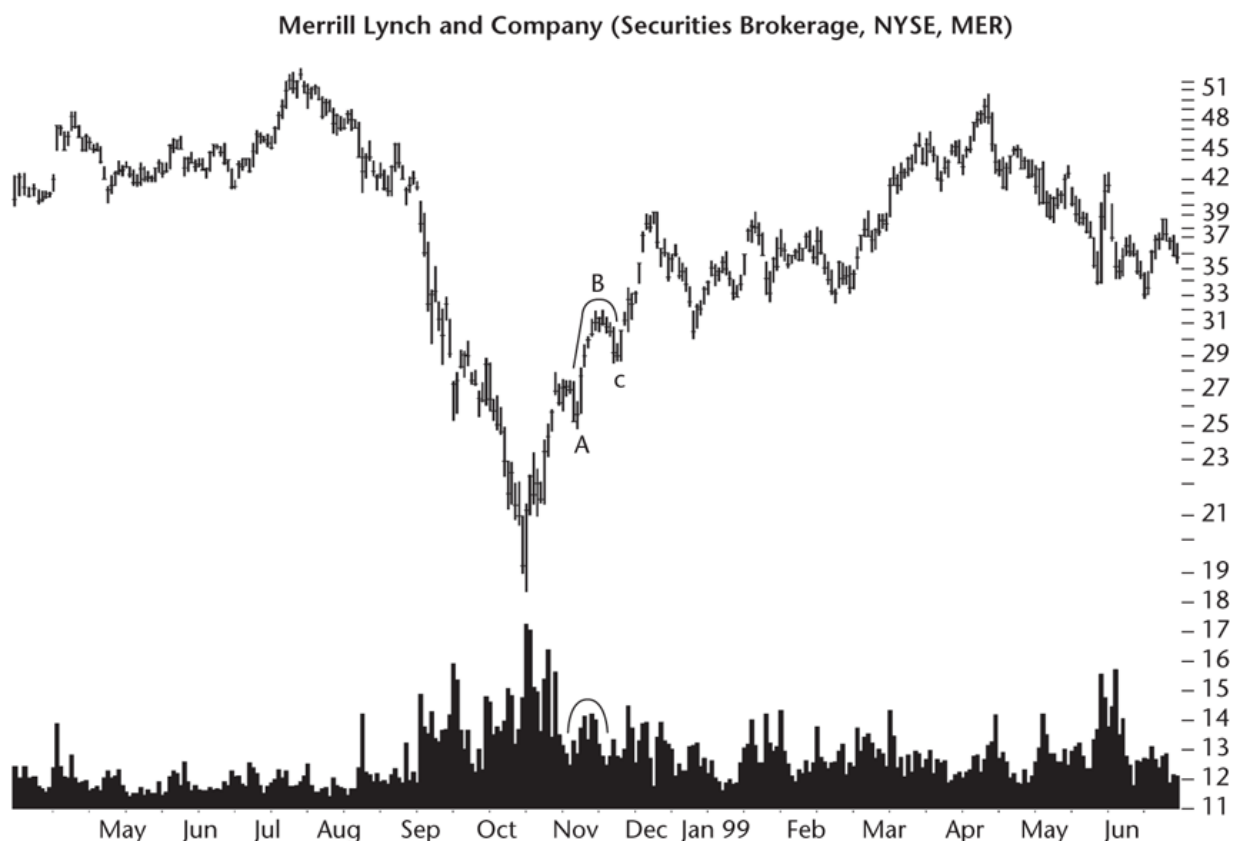


Figure 58.2 This scallop appears rounder if you connect the low prices instead of the high prices.

Breakout direction. Ascending and inverted scallops can break out in any direction, but you'll find most (over 90%) break out upward. That happens when price closes above the top of the scallop.

A downward breakout would see price drop all the way down to close below A, the bottom of the scallop. Scallops with downward breakouts are too few to be worth serious consideration. For that reason, I don't include them in this chapter.

Confirmation price. Always wait for confirmation, that is, for price to *close* above the pattern's high. Only then does the pattern become a valid scallop with an upward breakout.

Figure 58.3 shows an example of domed-shaped volume from October to December that starts when the middle scallop begins but finishes before the scallop ends. This action is typical but should not influence pattern identification.